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Market Practice Guidelines for the Adoption of Chinese Commercial Code

Version 2



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Payments Market Practice Group

The Payments Market Practice Group (PMPG) is an independent body of payments subject matter experts from Asia Pacific, EMEA and the Americas.

The mission of the PMPG is to:

- Take stock of payments market practices across regions.
- Discuss, explain, and document market practice issues, including possible commercial impact.
- Recommend market practices, covering end-to-end transactions.
- Propose best practice, business responsibilities and rules, message flows, consistent implementation of ISO messaging standards and exception definitions.
- Ensure publication of recommended best practices.
- Recommend payments market practices in response to changing compliance requirements.

The PMPG provides a truly global forum to drive better market practices, which, together with correct use of standards, will help in achieving full straight-through-processing and improved customer service.



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1. Introduction

This document has three main sections:

- Market Practice Guidelines: Describes the guidelines that the PMPG proposes to the global payments community.
- Observations and Recommendations: Comments on the general impact of the guidelines and areas of further discussion.
- Frequently Asked Questions: Addresses specific questions that have been raised to the PMPG in relation to the subject that is addressed in the document.

The text starts by giving the background.

The PMPG will regularly review these guidelines, using the frequently asked questions and community feedback as input.

2. Background

It is essential to provide names and addresses information precisely for any international payments.

However, because of the character-set limitations in FIN MT messages as well as FINPlus MX messages, countries and areas using non-Latin characters face the challenge of translating names and addresses into Latin characters, which often cause the loss of the original information.

A typical example from the Chinese community is that the same spelling in Latin characters always represents multiple Chinese characters. For example, the spelling “Li” represents more than 100 Chinese characters among, which at least five of them can be a frequently used surname. This situation brings banks risks on multiple aspects, including automatic processing, efficient compliance checks, or fulfilling relevant local regulatory requirements.

To mitigate the risks and improve processing efficiency, banks from China mainland, Hong Kong, Taiwan, Macau and Singapore have adopted various market practices including the use of Chinese Commercial Code (CCC) to represent precise Chinese characters in cross-border payment instructions.

This document focuses on the recommended practice of transmitting Chinese Commercial Code (“CCC”) in ISO 20022 messages for cross-border payments, with the following aims:

- To clarify the scope and business scenarios of CCC usage in ISO 20022 for cross-border payments and cash reporting business,
- To enhance interoperability for the community by promoting the unified CCC table and associated market practices defined by CCC Maintenance Working Group,
- To facilitate compliance check eliminating ambiguity in character transliteration.

3. Chinese Character Codes and CBPRplus

By using the Chinese Commercial Code banks can transfer the most frequently used Chinese characters into exact 4-digit presentation.

In the past, different banks used different versions of CCC, including the 1972 version by Commercial Press Hong Kong and 1983 version by the Posts and Telecommunications Press.

A lack of unified code tables supporting both simplified and traditional Chinese characters, as well as usage guidelines, have a negative impact on payments STP rate and generate higher operational risk.

The **CCC Maintenance Working Group** was established in 2014 with the scope of maintaining and publishing an updated and industry-wide agreed version of the electronic CCC table together with a usage document on swift.com, and make it available for consultation by all Swift users.

To improve the unified CCC table adoption, Swift included in the standard release, SR 2018,¹ the usage of CCC in FIN payment messages (field 50A, 58D and 59A² under bilateral agreements). The unified e-CCC code table for both simplified and traditional Chinese characters and the usage guideline book have been published on swift.com(https://www.swift.com/swift_resource/9981.)

Since the industry will complete ISO 20022 migration in the cross-border payment and cash reporting (CBPRPLUS) area by November 2025, and the character set adopted in CBPRPLUS is restricted to FIN X character set plus limited number of special characters, Global PMPG issues this document to clarify CCC related market practices for the CBPRPLUS messages.

4. General Principles of CCC Adoption in CBPRplus

General usage rules

1. The following usage rules apply to Chinese Commercial Code used in CBPRplus cross-border payment messages sent over SwiftNet. Banks should follow local market practices of the respective countries / areas when using Chinese Commercial Code in local payment systems for domestic payments.
2. Bilateral or multilateral agreements should be reached when Chinese Commercial Code is used in CBPRplus messages.
3. To avoid return payment or investigations caused by the use of Chinese Commercial Code in CBPRplus messages, banks should use the unified e-CCC table defined by the CCC Maintenance Group which is downloadable from swift.com ([e-CCC v2 Code table](#)). The unified e-CCC table and relevant usage guidelines are maintained and published by the CCC Maintenance Group based on community discussions.
4. Only the Swift CCC list should be used for cross-border, but it is still very frequent other lists of mapping are seen. For example:

**The Chinese word 琼 is mapped to “8825” as according to Swift, while HK / Taiwan may use code “8874” instead.
We recommend banks to implement the unified table published on swift.com.
Otherwise, it should be bilaterally agreed with counterparty banks.**

5. Issue with the mix usage of Simplified Chinese and Traditional Chinese. Suggestion is to use either Simplified or Traditional but not mixed. One advantage of the unified CCC list is that the table has aligned the translation of the same character so that for both simplified and traditional Chinese, the same character is translated into the same 4-digit presentation.

¹ CR 001302.

² Message types impacted include: MT 101, MT 102, MT 102 STP, MT 103, MT 103 STP, MT 103 REMIT, MT 110, MT 202, MT 202COV, MT 203, MT205, MT205COV, MT210, MT910. ⁴
<https://www.swift.com/standards/standards-resources?category=7026>

Example of mixed usage of Simplified Chinese and Traditional Chinese and translation with different CCC table:

Use “5509 6265” (for 葉豐) or “0673 0023” (for 叶丰) and NOT “5509 0023” (for 葉丰) or “0673 6265” (for 叶豐).

6. Issue with partly translated fields. The suggestion is to complete translation for a field. Example:

“腾讯有限公司” is mapped into “7506 6061 2589 7098 0361 0674”. Incomplete translation could be “TENG 6061 2589 7098 0361 0674” or “腾讯 2589 7098 0361 0674”.

7. For payments with both CBPRplus and domestic PMI legs, transformation should be performed by relevant bank. The CBPRplus message should follow the usage rules mentioned in this document. The PMI message may follow the PMI’s requirements, local market practices or the usages rules mentioned in this document.

Applicable CBPRplus message types and elements

The Chinese Commercial Code is applicable in the following Swift CBPRplus ISO 20022 messages :

- pacs.008
- pacs.009
- pacs.009cov
- pacs.009adv
- pacs.004
- camt.107
- camt.057
- camt.054
- pain.001

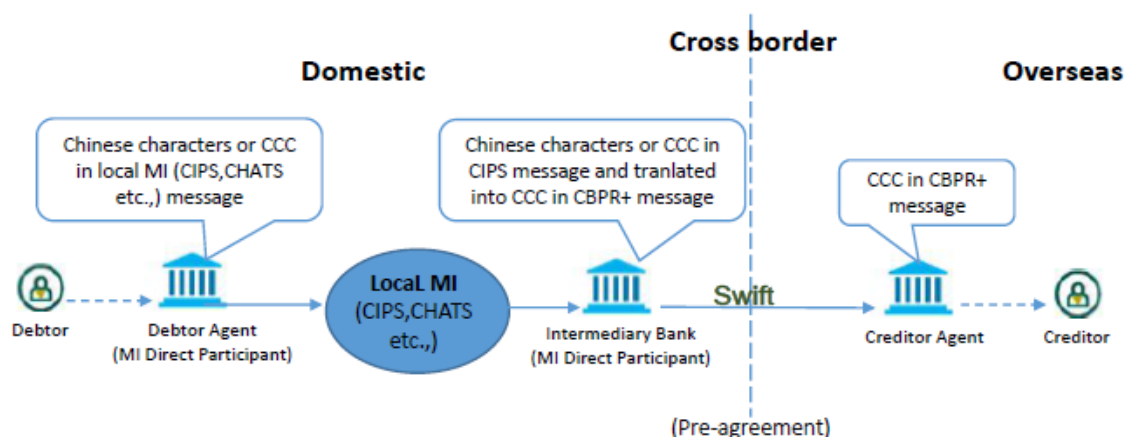
and following elements :

- Debtor
- Creditor
- Payer
- Payee
- Instruction For Creditor Agent
- Remittance Information

5. Business Flow and Use Cases

Scenario 1 : CCC used in outbound cross-border payments

Outbound cross-border Payments



Description:

1. Cross-border payment outbound from China. Intermediary banks and creditor's bank can support the use of CCC as pre-agreed.
2. Banks within China are CIPS direct participants and can use Chinese characters or CCC in the CIPS messages.
3. The intermediary bank generate CBPRplus message based on the CIPS message received with Chinese information expressed in CCC.
4. The overseas intermediary bank accepts and processes the CBPRplus message with CCC.

message example

<Dbtr>

<Nm>ADGLE INTERNATIONAL CO LIMITED</Nm>

<PstlAdr>

<AdrLine>0022 0948 1684 2639 4164 1684</AdrLine>

<AdrLine>1558 1579 6390 4423 0575 5478</AdrLine>

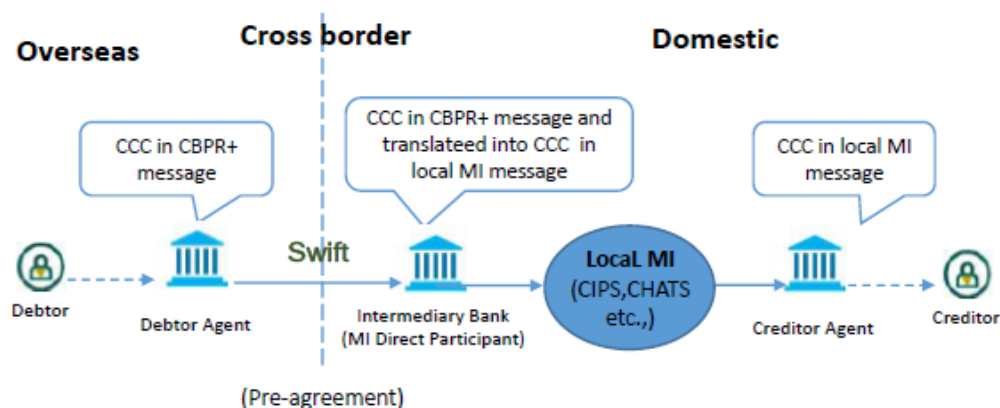
<AdrLine>2867 1129 1669 0059 2869</AdrLine>

</PstlAdr>

</Dbtr>

Scenario 2: CCC used in inbound cross-border payments

Inbound cross-border Payments



Description:

1. Inbound currency payment from overseas to China. Debtor's bank and intermediary banks and can support the use of CCC as pre-agreed.
2. Debtor's bank used CCC in the CBPRplus payment instruction, the intermediary bank generate into local payment system messages (e.g., CIPS, CHATS) with CCC based on the received CBPR+ message.
3. The local intermediary bank and creditor's bank complete the payment through relevant local payment system.

message example

```
<pac:Cdtr>
  <pac:Nm>1122 1252 7555 (3234 1101</pac:Nm>
  <pac:PstAdr>
    <pac:AdrLine>)2589 7098 0361 0674</pac:AdrLine>
  </pac:PstAdr>
</pac:Cdtr>
```

6. Compliance and risk management considerations

Based on the bank's individual circumstances, banks may choose to use automated or other effective manual processes to handle names that use non-Latin script (including Chinese characters) or commercial codes. For example, they may use screening systems which are able to effectively generate alerts taking into account name variations from multiple Chinese Romanisation systems (e.g. Mandarin pinyin, Cantonese, Hokkien) and different types of Chinese characters.

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